



In this chapter, we have identified some common red flags. We should be very careful whenever we spot these. Remember that spotting these red flags does not always mean that the management is doing something wrong. It can be something to do with the business, the economy, the business environment, and more.

*These do not mean the management is definitely doing wrong. But whenever, we see them, make sure to stop and evaluate and look for reasons.*



While looking for reasons, we must give the management the benefit of the doubt. We may look into annual report, quarterly conference calls, investor presentation, etc. to look for reasons. We may even connect with the management directly and look for answers.